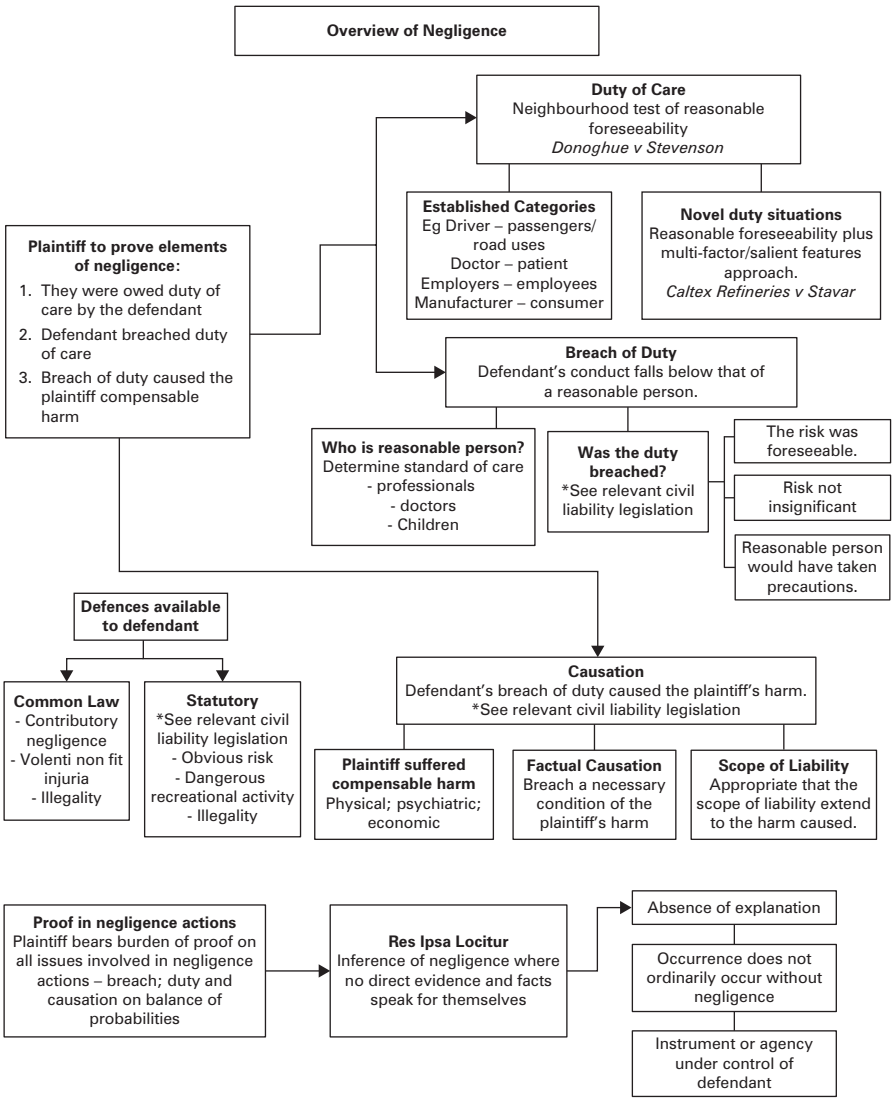
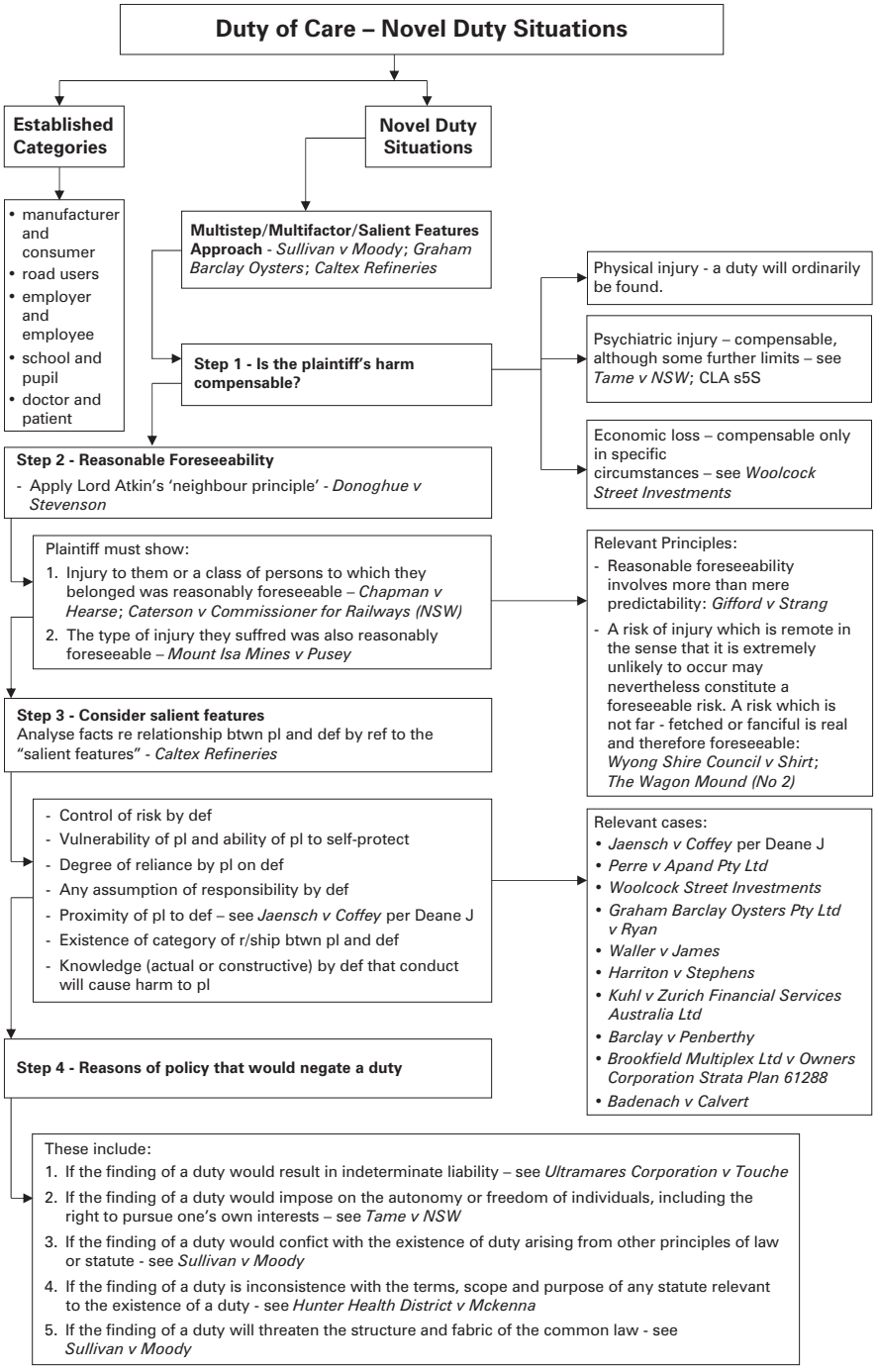
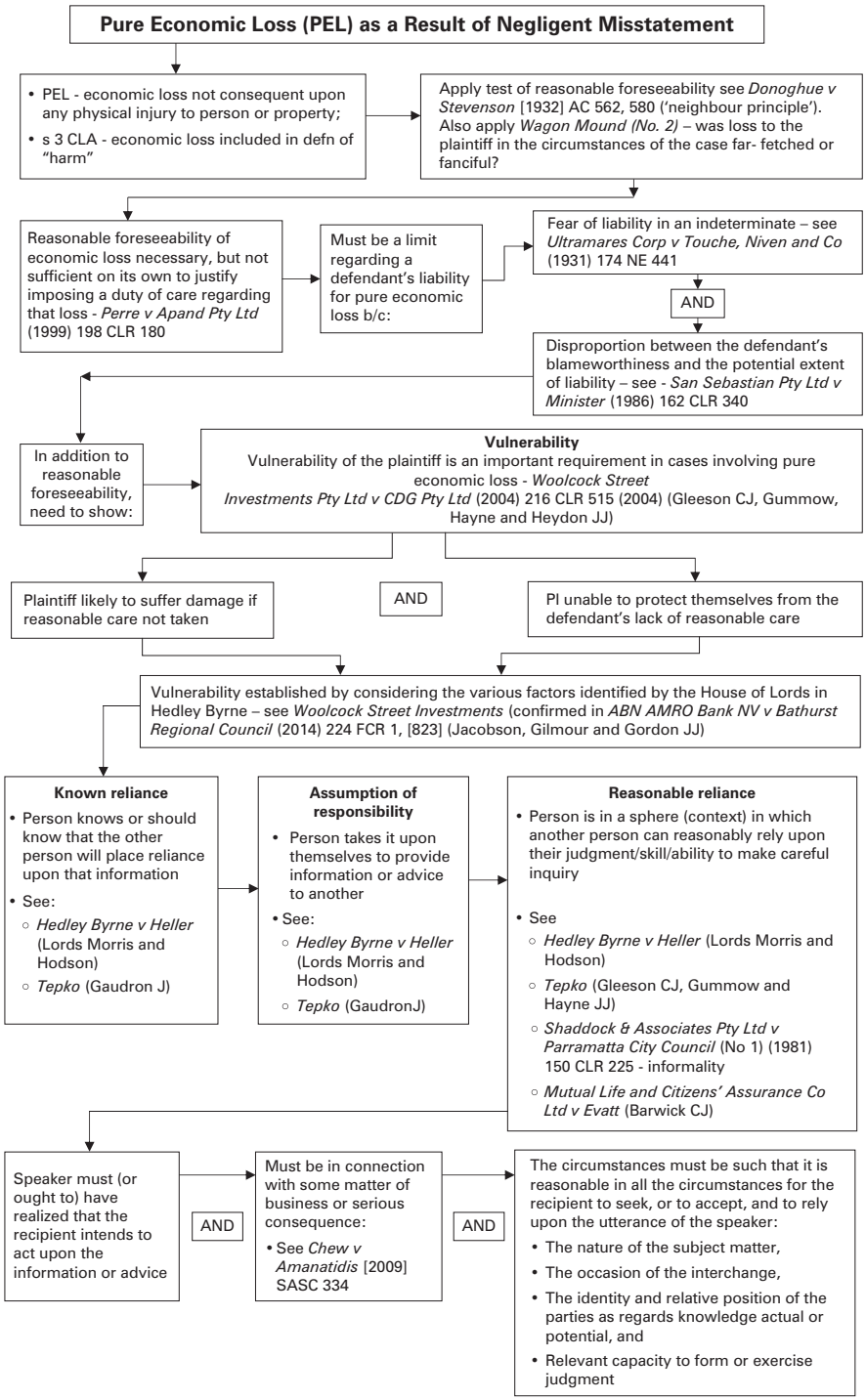


Source: Bunn, Allcock, Allison & Shircore, Tort Law Principles (Thomson Reuters, 3rd ed, 2025), pp 195, 290-291. Provided for LAWS2400/LAWS8040 students via iLe

Flowcharts


Duty of Care – Novel Duty Situations
Established Categories
Novel Duty Situations
• manufacturer and consumer
• road users
• employer and employee
• school and pupil
• doctor and patient
Multistep/Multifactor/Salient Features Approach - Sullivan v Moody; Graham Barclay Oysters; Caltex Refineries
Step 1 - Is the plaintiff's harm compensable?
Physical injury - a duty will ordinarily be found.
Psychiatric injury – compensable, although some further limits – see Tame v NSW; CLA s5S
Economic loss – compensable only in specific circumstances – see Woolcock Street Investments
Step 2 - Reasonable Foreseeability
- Apply Lord Atkin's 'neighbour principle' - Donoghue v Stevenson
Plaintiff must show:
1. Injury to them or a class of persons to which they belonged was reasonably foreseeable – Chapman v Hearse; Caterson v Commissioner for Railways (NSW)
2. The type of injury they suffred was also reasonably foreseeable – Mount Isa Mines v Pusey
Relevant Principles:
- Reasonable foreseeability involves more than mere predictability: Gifford v Strang
- A risk of injury which is remote in the sense that it is extremely unlikely to occur may nevertheless constitute a foreseeable risk. A risk which is not far - fetched or fanciful is real and therefore foreseeable: Wyong Shire Council v Shirt; The Wagon Mound (No 2)
Step 3 - Consider salient features
Analyse facts re relationship btwn pl and def by ref to the "salient features" - Caltex Refineries
- Control of risk by def
- Vulnerability of pl and ability of pl to self-protect
- Degree of reliance by pl on def
- Any assumption of responsibility by def
- Proximity of pl to def – see Jaensch v Coffey per Deane J
- Existence of category of r/ship btwn pl and def
- Knowledge (actual or constructive) by def that conduct will cause harm to pl
Relevant cases:
• Jaensch v Coffey per Deane J
• Perre v Apand Pty Ltd
• Woolcock Street Investments
• Graham Barclay Oysters Pty Ltd v Ryan
• Waller v James
• Harriton v Stephens
• Kuhl v Zurich Financial Services Australia Ltd
• Barclay v Penberthy
• Brookfield Multiplex Ltd v Owners Corporation Strata Plan 61288
• Badenach v Calvert
Step 4 - Reasons of policy that would negate a duty
These include:
1. If the finding of a duty would result in indeterminate liability – see Ultramares Corporation v Touche
2. If the finding of a duty would impose on the autonomy or freedom of individuals, including the right to pursue one's own interests – see Tame v NSW
3. If the finding of a duty would confict with the existence of duty arising from other principles of law or statute - see Sullivan v Moody
4. If the finding of a duty is inconsistence with the terms, scope and purpose of any statute relevant to the existence of a duty - see Hunter Health District v Mckenna
5. If the finding of a duty will threaten the structure and fabric of the common law - see Sullivan v Moody


Pure Economic Loss (PEL) as a Result of Negligent Misstatement
• PEL - economic loss not consequent upon any physical injury to person or property;
• s 3 CLA - economic loss included in defn of "harm"
Apply test of reasonable foreseeability see Donoghue v Stevenson [1932] AC 562, 580 ('neighbour principle'). Also apply Wagon Mound (No. 2) – was loss to the plaintiff in the circumstances of the case far- fetched or fanciful?
Reasonable foreseeability of economic loss necessary, but not sufficient on its own to justify imposing a duty of care regarding that loss - Perre v Apand Pty Ltd (1999) 198 CLR 180
Must be a limit regarding a defendant's liability for pure economic loss b/c:
Fear of liability in an indeterminate – see Ultramares Corp v Touche, Niven and Co (1931) 174 NE 441
AND
Disproportion between the defendant's blameworthiness and the potential extent of liability – see - San Sebastian Pty Ltd v Minister (1986) 162 CLR 340
In addition to reasonable foreseeability, need to show:
Vulnerability
Vulnerability of the plaintiff is an important requirement in cases involving pure economic loss - Woolcock Street Investments Pty Ltd v CDG Pty Ltd (2004) 216 CLR 515 (2004) (Gleeson CJ, Gummow, Hayne and Heydon JJ)
Plaintiff likely to suffer damage if reasonable care not taken
AND
Pl unable to protect themselves from the defendant's lack of reasonable care
Vulnerability established by considering the various factors identified by the House of Lords in Hedley Byrne – see Woolcock Street Investments (confirmed in ABN AMRO Bank NV v Bathurst Regional Council (2014) 224 FCR 1, [823] (Jacobson, Gilmour and Gordon JJ)
Known reliance
• Person knows or should know that the other person will place reliance upon that information
• See:
○ Hedley Byrne v Heller (Lords Morris and Hodson)
○ Tepko (Gaudron J)
Assumption of responsibility
• Person takes it upon themselves to provide information or advice to another
• See:
○ Hedley Byrne v Heller (Lords Morris and Hodson)
○ Tepko (GaudronJ)
Reasonable reliance
• Person is in a sphere (context) in which another person can reasonably rely upon their judgment/skill/ability to make careful inquiry
• See
○ Hedley Byrne v Heller (Lords Morris and Hodson)
○ Tepko (Gleeson CJ, Gummow and Hayne JJ)
○ Shaddock & Associates Pty Ltd v Parramatta City Council (No 1) (1981) 150 CLR 225 - informality
○ Mutual Life and Citizens' Assurance Co Ltd v Evatt (Barwick CJ)
Speaker must (or ought to) have realized that the recipient intends to act upon the information or advice
AND
Must be in connection with some matter of business or serious consequence:
• See Chew v Amanatidis [2009] SASC 334
AND
The circumstances must be such that it is reasonable in all the circumstances for the recipient to seek, or to accept, and to rely upon the utterance of the speaker:
• The nature of the subject matter,
• The occasion of the interchange,
• The identity and relative position of the parties as regards knowledge actual or potential, and
• Relevant capacity to form or exercise judgment